



Prepare 50% Faster

Study Notes

INSOLVENCY & BANKRUPTCY CODE, 2016 Descriptive Question Notes

Descriptive Questions and Important Points

- Some important Questions from IBC along with important points have been covered in these notes. You can elaborate these points and frame your answers on mentioned topics.

Question no. 1. Distinguish between Insolvency and Bankruptcy?

Ans.

- Introduction:**

The term insolvency and bankruptcy are the frequently used terms under the IBC, 2016. Insolvency is **used for both individuals and organizations**. It signifies a **situation of financial distress** where the debtor's liabilities exceed their assets, and they are unable to meet their financial obligations. For **individuals, it is known as bankruptcy** and for **corporate it is called corporate insolvency**. Under the IBC Insolvency is regarded as a "state" where assets are insufficient to meet the liabilities. **If untreated, insolvency will lead to bankruptcy** for non-corporate and **liquidation** of corporate. Bankruptcy, on the other hand, is a legal proceeding involving a person or business that is unable to repay outstanding debts or is a legal process that arises from insolvency.

There are some **differences between both insolvency and bankruptcy** are:

- ✓ **Meaning:**

- Insolvency relates to the financial state of being unable to pay debts.
- Bankruptcy refers to the formal legal process that follows insolvency.

- ✓ **Nature:**

- Insolvency is temporary and amount can be recoverable. It is a state of economic distress.
- Bankruptcy is permanent and final declaration of insolvency by the authorities. It is the conclusion.

- ✓ **Process:**

- Insolvency is involuntary.
- Bankruptcy is voluntary.

- ✓ **Arises when:**

- Insolvency arises when assets are not sufficient to pay off liabilities.
- Untreated insolvency results in bankruptcy in the case of individuals and liquidation in the case of corporates.

Thus, **insolvency signifies financial distress, while bankruptcy is the formal legal process that addresses the insolvency situation** through the distribution of assets among creditors. The IBC provides a comprehensive framework to deal with both insolvency and bankruptcy situations, aiming to achieve a fair and efficient resolution.

Suggestive Questions:

Q. Draw a distinction between insolvency and bankruptcy under the Insolvency and Bankruptcy Code, 2016?

Q. In accordance with the Insolvency and Bankruptcy Code, 2016, illuminate the contrast between the concepts of insolvency and bankruptcy?

Q. Explain how insolvency and bankruptcy are distinct as per the Insolvency and Bankruptcy Code, 2016?

Question no. 2. Who may initiate the corporate insolvency resolution process under the under IBC?

Ans.

▪ **Introduction:**

IBC provides a structured framework for the initiation of the Corporate Insolvency Resolution Process ("CIRP"), ensuring that the process is triggered by relevant parties and under specific circumstances of default. The initiation of the CIRP is **a significant step in resolving insolvency situations**, and the involvement of different stakeholders ensures a balanced approach to the process.

Section 6 of the IBC provides the **list of persons who may initiate corporate insolvency resolution process**, where any corporate debtor commits a default, they may initiate corporate insolvency resolution process in respect of such corporate debtor. The following can initiate CIRP as per IBC:

- ✓ **Financial Creditor** (section 7): A financial creditor, which includes banks, financial institutions, and other entities that have extended financial debt to the corporate debtor, can initiate the CIRP.
- ✓ **Operational Creditor** (section 8 & 9): An operational creditor, which includes suppliers of goods and services to the corporate debtor, can also initiate the CIRP. They need to issue a demand notice to the corporate debtor for the unpaid operational debt, and if the debt is not paid or resolved within the stipulated time, they can approach the Authority to initiate the process.
- ✓ **Corporate Applicant** (section 10): A corporate debtor itself/applicant can initiate the CIRP which allows the corporate debtor to take control of its financial distress and propose a plan for its resolution.

Thus, the initiation of the CIRP leads either to a revival of corporate debtors or the liquidation is called for in case revival is not possible.

Suggestive Questions:

Q. Who is empowered to initiate the corporate insolvency resolution process as per the stipulations of the Insolvency and Bankruptcy Code, 2016?

Q. According to the IBC, 2016 who possesses the right to initiate the corporate insolvency resolution process?

Q. Which parties have the capability to initiate the corporate insolvency resolution process under the purview of the IBC?

Question no. 3. What is time limit within which the CIRP should be completed as per the IBC?

Ans:

- **Introduction:**

As per the Insolvency and Bankruptcy Code, 2016 ("IBC"), the Corporate Insolvency Resolution Process ("CIRP") should ideally be completed within a time frame of 180 days as per section 12(1) of the IBC. This period begins from the date of admission of the application by the Adjudicating Authority i.e., NCLT to initiate such process.

However, this initial time limit of 180 days can be extended by the NCLT by an additional period of 90 days if the CIRP process has not been completed within the initial days and for valid reasons. Therefore, the maximum permissible time for completing the CIRP is 270 days in case of grant of extension. However, any extension of the period of the corporate insolvency resolution process shall not be granted more than once. The maximum time within which CIRP has to be mandatorily completed, including any extension or litigation period, is 330 days.

It's important to note that timely completion of the CIRP is a critical aspect of the IBC, as it aims to ensure efficient resolution of insolvency cases, protect the interests of stakeholders, and maintain the viability of the corporate debtor. Extending the time frame beyond the prescribed limits requires approval from the NCLT, and the process must be diligently managed to avoid unnecessary delays and ensure the best possible outcome for all parties involved.

Suggestive Questions:

Q. As per the IBC, what is the specified time frame for the successful completion of corporate insolvency resolution process?

Q. What is the prescribed time limit under the IBC for completing the Corporate Insolvency Resolution Process?

Q. Under the IBC provisions, what is the defined timeframe for concluding the Corporate Insolvency Resolution Process?

Question no. 4. How is an Interim Resolution Professional appointed in a CIRP?**Ans:****Introduction:**

Insolvency resolution professional and resolution professional are the **key professionals and pillar** under the Insolvency and bankruptcy code, 2016. These professionals are the **whole and sole of the company after the insolvency application is approved** by the Adjudicating Authority. Section 16 of the IBC provides that the **Adjudicating Authority shall appoint an interim resolution professional on the insolvency commencement date.**

Where the **application** for corporate insolvency resolution process **is made by a financial creditor or the corporate debtor**, as the case may be, the resolution professional, as proposed respectively in the application under section 7 or section 10, shall be appointed as the interim resolution professional if no disciplinary proceedings are pending against him. However, where the application for corporate insolvency resolution process is made **by an operational creditor** and

- **no proposal** for an interim resolution professional is made, the Adjudicating Authority shall make a reference to the Board for the recommendation of an insolvency professional who may act as an interim resolution professional;
- **a proposal** for an interim resolution professional is made the operational creditor, the resolution professional as proposed, shall be appointed as the interim resolution professional, if no disciplinary proceedings are pending against him.

When a reference is made to the Board by the Adjudicating Authority as mentioned above, it shall, **within ten days of the receipt of a reference from the Adjudicating Authority, recommend the name of an insolvency professional who shall act as the interim resolution professional.** The **term of the interim resolution professional** shall continue till the date of appointment of the resolution professional under section 22 of the IBC.

The **role of the Interim Resolution Professional is crucial in initiating and facilitating the early stages of the CIRP.** They ensure the preservation of the corporate debtor's assets, verify creditor claims, and lay the groundwork for the subsequent phases of the resolution process. In other words, the IRP's role is to take control and manage the affairs of the corporate debtor during the initial phase of the CIRP.

Suggestive Questions:

Q. What is the procedure for the appointment of an Interim Resolution Professional (IRP) in a Corporate Insolvency Resolution Process (CIRP) under the Insolvency and Bankruptcy Code (IBC) 2016??

Q. In a Corporate Insolvency Resolution Process governed by the Insolvency and Bankruptcy Code, 2016, what is the mechanism by which an Interim Resolution Professional is designated?

NOTE: For the Duties of the IRP please refer to the notes and Section 18 of the IBC.

Question no. 5. What does moratorium mean under IBC. Explain its objective under the purview of the IBC?

Ans.

- **Introduction:**

The term “**Moratorium**” is nowhere defined in the Insolvency and Bankruptcy Code. However, moratorium in terms of IBC means **a period wherein no** judicial proceedings for recovery, enforcement of security interest, sale or transfer of assets, or termination of essential contracts can be instituted or continued against the Corporate Debtor. The **Adjudicating Authority while admitting an application against the corporate debtor is required to declare the moratorium** period under Section 14 of the IBC. The **main purpose of declaring the moratorium** period is to keep the Corporate Debtor’s assets intact during the CIRP. In other words, it provides a breathing space to the corporate debtor and its assets to allow the insolvency resolution process to take place without external disruptions.

As per the provisions of the IBC when an order declaring a moratorium is issued, **it prohibits** the institution of new litigation or the continuation of existing suits or procedures against the corporate debtor, including the execution of any judgement, decision, or order. It **creates a calm period or as mentioned above a breathing space** for the corporate debtor which guarantees that the already economically challenged corporate debtor maximizes its asset realization and thus, achieves a rapid resolution. As the very **objective of declaring moratorium is to retain the corporate debtor’s assets together** throughout the insolvency proceedings, enabling the organized finalization of the procedures envisioned throughout the insolvency proceedings, and making sure that the corporate debtor can resume as a viable business. Thus, **it protects corporate debtor** not only from new recovery claims during the insolvency resolution process but also from current claims that may be pending before multiple authorities.

As per the IBC **moratorium begins** from the date of admission of the insolvency application by the Adjudicating Authority **and remains in effect until** the completion of the insolvency resolution process. This ensures that the resolution process takes place without unnecessary delays and external disturbances. Further, if the Adjudicating Authority approves the resolution plan or passes an order for liquidation of corporate debtor, **the moratorium ceases** to have effect from the date of such approval of resolution plan or liquidation order, as the case may be.

Thus, we can say that the concept of moratorium **aims to maintain the status quo** and **prevent any further erosion of the corporate debtor's assets** during the resolution process. It provides a temporary shield to the corporate debtor from aggressive recovery actions, allowing the insolvency resolution process to proceed in an orderly and efficient manner.

Suggestive Questions:

Q. Define the concept of "moratorium" within the context of the IBC. Elaborate on its underlying purpose and significance in relation to the IBC framework.

Q. Clarify the term "moratorium" under the IBC and delve into its primary goals within the scope of the IBC's regulatory framework for handling insolvency cases.?

Q. Provide an explanation of the term "moratorium" as it pertains to the IBC. Analyze its intended aims and the rationale behind its incorporation into the IBC structure.

Question no. 6. Explain the process and conditions for initiating voluntary liquidation by a corporate debtor under IBC?

Ans.

▪ **Introduction:**

A corporate person who intends to liquidate itself voluntarily and has **either not committed any default, has no debt or in case of having debt, it will be able to pay its debts in full**; from the proceeds of assets to be sold in the liquidation, may initiate voluntary liquidation process as per section 59 of the IBC, 2016 ("Code")

Under section 59(3) of the Code a corporate person may initiate the voluntary liquidation process after fulfilling the following **conditions**:

✓ **Declaration of Solvency** stating that:

- the corporate person has no debt or that it will be able to pay its debts in full; from the proceeds of assets and
- the corporate person is not being liquidated to defraud any person;

✓ **Declaration be accompanied** with:

- Audited financial statements and record of business operations previous two years or for the period since its incorporation, whichever is later;
- Report of the valuation of the assets of the company

✓ **Within four weeks of a declaration:**

- special resolution requiring the corporate person to be liquidated voluntarily and appointing an insolvency professional to act as the liquidator; or
- resolution to voluntarily liquidate as a result of expiry of the period of its duration, if any, fixed by its Articles or occurrence of any event for which the Articles provide that the company be dissolved, & appointment of an insolvency professional to act as the liquidator.

- ✓ If corporate person owes any debt, creditors representing two-thirds in value of the debt of the corporate person shall approve the aforesaid resolution, within seven days of such resolution.

- ✓ **RoC & Board to be notified** about the resolution within 7 days of such resolution or the subsequent approval by the creditors, as the case may be.

Once the approval of the creditors is taken, the voluntary liquidation process in respect of a corporate person shall **be deemed to have commenced** from the date of passing of the resolution.

- ✓ Process for the voluntary liquidation:
- ✓ Public Announcement
- ✓ Submission and verification of claims
- ✓ Realization of assets by the liquidator
- ✓ Distribution of assets
- ✓ Filing of Report to RoC & NCLT
- ✓ Once the affairs of the Corporate Person have been completely wound up and its assets are fully liquidated, then the Liquidator shall make an application to the NCLT for dissolution.
- ✓ Once the NCLT passes an order for Dissolution, the Corporate Person shall stand dissolved.

Thus, voluntary liquidation under IBC occurs when all the **company's board members mutually agree not to continue the business and dissolve the company** of its assets and pay off the debts.

Suggestive Questions:

Q. Elucidate the procedure and prerequisites involved when a corporate debtor initiates voluntary liquidation under the Insolvency and Bankruptcy Code, 2016?

Q. In accordance with the Insolvency and Bankruptcy Code, 2016, outline the series of steps and conditions that a corporate debtor must adhere to when initiating voluntary liquidation?

Q. Under the pro Insolvency and Bankruptcy Code, 2016, how is the process of voluntary liquidation by a corporate debtor initiated, what are the necessary conditions involved for its initiation?

Question no. 7. Describe the composition, powers, and functions of the National Company Law Tribunal as the principal adjudicating authority under IBC?

Ans.

- **Introduction:**

The National Company Law Tribunal ("NCLT/Tribunal") is a **quasi-judicial organization** which serves as the **principal adjudicating authority for matters related to insolvency and bankruptcy**. It is the successor entity to the Company Law Board and Board for Industrial and Financial Reconstruction (BIFR). It was **established based on the recommendations of the Justice Erandi Committee** with the primary objective to consolidate and streamline the adjudication process of corporate disputes and insolvency

proceedings. Under Section 408 of the Companies Act, 2013 the Central Government constitutes the National Company Law Tribunal.

NCLT consists of a **Principal Bench in New Delhi** and several Regional Benches located across different states in India. It **consists of a President and such number of Judicial and Technical members**, as the Central Government may deem necessary, to be appointed. The Tribunal plays a very important role as the adjudicating authority under the IBC, 2016. The **powers and functions** of the Tribunal as the principal adjudicating authority under IBC are:

- ✓ Adjudication of Corporate Insolvency Resolution Process
- ✓ Approval of Resolution Plans
- ✓ Liquidation Orders
- ✓ Insolvency-related Disputes are adjudicated and resolved by it, including those arising from the CIRP process, claims of creditors, and challenges to resolution plans.

NCLT as a **specialized forum expedites** the resolution process, maintains transparency, and ensures the protection of the rights of stakeholders involved in insolvency and bankruptcy cases. It facilitates the timely revival of viable businesses and the efficient realization of assets, contributing to the IBC's fundamental goal of resolving distress situations in a structured and equitable manner.

Suggestive Questions:

Q. Analyze the composition, powers, and functions of the National Company Law Tribunal as the principal adjudicating body under the IBC provisions.?

Q. Discuss the components, powers, and operational functions of the National Company Law Tribunal acting as the chief adjudicating entity under the IBC?

Question no. 8. What is a Committee of Creditors (“CoC”) under IBC. Explain its constitution and the role played by it as per the provisions of IBC.

Ans.

▪ **Introduction:**

The Committee of Creditors (“CoC”) is a **pivotal entity within the Insolvency and Bankruptcy Code (“IBC”)** framework that plays a crucial role in the corporate insolvency resolution process (“CIRP”). It comprises financial creditors of the corporate debtor and holds significant decision-making authority during the resolution proceedings. The IBC a **“creditor-in-control”** model under the Code which provides that the management of the corporate debtor's affairs shall vest absolutely with the creditors in the event of financial distress. The CoC is the supreme decision-making body in a CIRP as the decisions regarding the administration of the corporate debtor are taken at the meetings of the Committee, based on a majority vote of the members.

The **constitution of the CoC** is as per section 18 and Section 21 of the IBC, which obligates the **Interim Resolution Professional to constitute the CoCs**, after the collation of the claims. As per Section 21(2) of the IBC, the **Committee shall comprise “all financial creditors** of the corporate debtor”. In other words, the CoC is composed of all financial creditors of the corporate debtor, including banks, financial institutions, and other entities holding financial claims. Each **creditor shall vote** in accordance with the voting share assigned to him based on the financial debts owed to such creditor and the resolution professional shall determine the voting share to be assigned to each creditor in the manner specified by the Board. However, **a financial creditor who is a related party** to the corporate debtor is not included in the committee of creditors and therefore, shall **not have any voting share** in the committee. In a case, where the corporate debtor owes financial debts to two or more financial creditors as part of a consortium or agreement, each such financial creditor shall be part of the committee of creditors and their voting share shall be determined on the basis of the financial debts owed to them.

Operational creditors are not part of the CoC but can participate in certain discussions without voting rights. However, where the corporate debtor does **not have financial creditors or where all financial creditors are its related parties, the committee of creditors shall comprise of operational creditors consisting of:**

- ✓ eighteen largest operational creditors by value or all operational creditors, where they are less than eighteen in number;
- ✓ one representative elected by workmen; and
- ✓ one representative elected by all employees.

The CoC has been vested with certain crucial **powers and functions** under the IBC as under:

- ✓ **Decision-Making Authority:** The CoC has the authority to make critical decisions during the CIRP. Major decisions, such as the appointment of a Resolution Professional or the approval of a resolution plan, require the CoC's approval by a vote of at least 66% of the voting share.
- ✓ **Appointment of RP:** The CoC appoints the RP to take over the management of the corporate debtor and execute the insolvency resolution process. The RP acts as the bridge between the CoC and the corporate debtor.
- ✓ **Evaluation of Resolution Plans:** The CoC evaluates and approves or rejects resolution plans submitted by potential resolution applicants. The resolution plan approved by the CoC is then presented to the Adjudicating Authority for final approval.
- ✓ **Protection of Interests:** The CoC's decisions must consider the best interests of all stakeholders, including employees, shareholders, and creditors. It aims to maximize the value of assets and secure a viable resolution for the corporate debtor.
- ✓ **Negotiations and Discussions:** The CoC facilitates negotiations with potential resolution applicants and may engage in discussions to modify or improve resolution plans to achieve the best possible outcome.

- ✓ **Monitoring Resolution Professional's ("RP") Activities:** The CoC monitors the activities of the RP, ensuring transparency, accountability, and adherence to the resolution plan.
- ✓ **Liquidation Decision:** If a viable resolution plan is not approved by the CoC within the stipulated timeframe, or if the approved plan fails during implementation, the CoC takes a decision relating to the initiation of the liquidation of the corporate debtor.

Thus, the CoC serves as the **driving force behind the corporate insolvency resolution process** under the IBC. Its composition of financial creditors and decision-making authority ensures a collaborative and comprehensive approach to achieving successful insolvency resolution while safeguarding the interests of all stakeholders involved.

Suggestive Questions:

Q. What is the role and composition of the Committee of Creditors (CoC) as outlined in the IBC framework? How does it contribute to the insolvency resolution process?

Q. Describe the Committee of Creditors (CoC) as per the IBC. Explain its composition and delve into its essential functions and responsibilities during the insolvency resolution process?

Question no. 9. Explain the entire process of CIRP as per IBC 2016.

Ans.

- **Introduction:**

The Corporate Insolvency Resolution Process ("CIRP") is a structured framework under the IBC, 2016, aimed at resolving the financial distress of insolvent corporate debtors. The process involves various stages and stakeholders, all working towards the successful resolution of the corporate debtor's financial issues.

The **entire CIRP process as per the IBC is a three-stage process** which includes:

- ✓ **Pre-admission** process section 3-11
 - ✓ **Post-admission** process section 12 to 32A
 - ✓ **Liquidation** stage section 33 to 42 and section 52 to 54
- **Initiation of CIRP:** It can be initiated by the corporate debtor itself, financial creditors, or operational creditors. They file an application before the Adjudicating Authority, outlining the default in payment of debt. This basically results in either the revival of the corporate debtor, or its liquidation.

- **Admission by the Adjudicating Authority:** Upon receiving the application, the Adjudicating Authority examines it to ascertain if the default exists and if it is satisfied with the application's validity, it admits the application and commences the CIRP. If it rejects the application the same is intimated to the applicant.
- **Appointment of Interim Resolution Professional:** The Adjudicating Authority appoints an Interim Resolution Professional who takes control of the corporate debtor's operations and management during the initial phase.
- **Moratorium Period:** Upon the appointment of the IRP, a moratorium period begins.
- **Formation of Committee of Creditors** by the interim resolution professional consisting of financial creditors.
- **Submission of Claims and Verification:** The interim resolution professional invites claim from all creditors and verifies them.
- **Appointment of Resolution Professional** by the CoC from the pool of insolvency professionals. The RP takes over the management of the corporate debtor from the interim resolution professional.
- **Preparation of Information Memorandum** by the resolution professional containing details of the corporate debtor's financial position, assets, and liabilities.
- **Invitation of Resolution Plans** by the resolution professional from potential resolution applicants which outlines how they intend to resolve the financial distress of the corporate debtor.
- **Evaluation and Approval of Resolution Plans** by the CoC and selects the one that maximizes the value of assets and offers the best outcome for stakeholders. The approved plan is then submitted to the Adjudicating Authority for final approval.
- **Implementation, monitoring and compliance of the Resolution Plan** by the resolution professional.
- **Conclusion of CIRP:** Upon successful implementation of the resolution plan, the CIRP concludes, and the corporate debtor's financial distress is resolved. If the plan fails, liquidation of the corporate debtor may be initiated.

Thus, the entire CIRP process is designed to **ensure a transparent and effective resolution of the corporate debtor's financial issues while safeguarding the interests of** creditors, stakeholders, and the overall economy.

NOTE: In the initiation process you should have an idea of the documents which each applicant has to furnish along with the application as provided under their respective sections i.e., 7, 8, 9 & 10.

Suggestive Questions:

- Q. Elaborate on the complete procedure of Corporate Insolvency Resolution Process as per the Insolvency and Bankruptcy Code, 2016?
- Q. Provide a comprehensive explanation of the entire Corporate Insolvency Resolution Process in accordance with the Insolvency and Bankruptcy Code, 2016.?
- Q. Provide an intricate overview of the entire Corporate Insolvency Resolution Process as per the stipulations outlined in the Insolvency and Bankruptcy Code, 2016.

Question no. 10. Elaborate 'Waterfall Arrangement' under the Insolvency and Bankruptcy Code, 2016.

Ans.

▪ **Introduction:**

The '**Waterfall Arrangement**' under the Insolvency and Bankruptcy Code, 2016 **refers to the priority order in which the proceeds from the liquidation** of a corporate debtor's assets are distributed among various stakeholders. It outlines the sequence in which different classes of creditors and claimants are entitled to receive their dues from the sale of the corporate debtor's assets during the liquidation process.

Section 53 of the IBC provides for a waterfall mechanism which gives a detail of the order and priority of the distribution of the assets of the corporate debtor among its stakeholders in the order of priority. As per this section the proceeds from the sale of the liquidation assets are distributed in the **following order of priority**:

- ✓ **Insolvency Resolution and Liquidation Cost**
- ✓ **Secured Creditors** (in case he has relinquished security interest) + **Workmen's Dues** (for period of 24 months preceding liquidation commencement date)
- ✓ **Wages and unpaid dues to employees** (other than workmen) for a period of 12 months preceding liquidation commencement date
- ✓ **Unsecured Creditors**
- ✓ **Government Dues + Secured Creditors** for an unrealized amount for enforcing security interest
- ✓ **Any remaining debts or dues**
- ✓ **Preference Shareholders**, if any
- ✓ **Equity Shareholders or partners**, as the case maybe

It is important to note that each class of creditors or claimants must be paid in full before the next class receives any payment. The Waterfall Arrangement aims to ensure a fair

and orderly distribution of assets during the liquidation process, safeguarding the interests of various stakeholders while maintaining a predetermined hierarchy of payment priority.

Suggestive Questions:

Q. Provide a detailed explanation of the 'Waterfall Arrangement' as established by the Insolvency and Bankruptcy Code of 2016?

Q. Offer an in-depth elucidation of the 'Waterfall Arrangement' formulated within the framework of the Insolvency and Bankruptcy Code of 2016.

Question no. 11. Explain the entire liquidation process under IBC 2016 in detail?

Ans.

Introduction:

Liquidation of a corporate debtor refers to the **end of its operations or existence or the closing down the business of the corporate debtor**. The process of liquidation can be initiated if the corporate debtor becomes incapable of repaying the debts or amounts owed by it and thus, it is the final stage of the insolvency resolution process. It is initiated **when the efforts to revive the corporate debtor have failed**, or when the resolution plan is not approved. The liquidation process **aims to realize the maximum value from the sale of the corporate debtor's assets and distribute the proceeds** among creditors and stakeholders **as per the Waterfall Arrangement**.

Section 33 of the IBC provides for the **initiation of the liquidation process in the following circumstances:**

- ✓ If the **Adjudicating Authority does not receive a resolution plan** for the corporate debtor before the expiry of the maximum time period
- ✓ If the **Adjudicating Authority rejects the resolution plan due to non-compliance** with the requirements specified under section 31 of IBC.
- ✓ If the resolution professional, before the confirmation of the resolution plan, informs the Adjudicating Authority that the **committee of creditors has decided to liquidate the corporate debtor** by at least sixty-six percent of the voting share
- ✓ If the **corporate debtor contravenes the resolution plan** approved by the Adjudicating Authority

The **various steps involved in the liquidation of the corporate debtor** are:

- ✓ **Appointment of liquidator:** Once the liquidation has been initiated, a liquidator will be appointed to carry out the liquidation process and manage the other affairs of the corporate debtor. Once appointed the liquidator shall verify the claims, evaluate the assets, carry on the business of the corporate debtor, taking into his custody the assets of the corporate debtor, etc.

- ✓ **Public announcement by the liquidator:** The liquidator shall, after his appointment, issue a public announcement calling upon the creditors to submit their claims in relation to the corporate debtor.
- ✓ **Consolidation and verification of claims:** The creditors of the corporate debtor will submit their claims within thirty days from the initiation of the liquidation process. After the receipt of the claims, the liquidator shall verify those claims.
- ✓ **Admission, rejection, and determination of the valuation of claims:** Liquidator shall either admit or reject the claims on the basis of verification of the claims. In either of the case the liquidator shall communicate the same to the creditor as well as the corporate debtor within seven days from such decision. After all the required claims have been admitted by the liquidator, he shall determine the value of the claims for the purpose of distribution of the assets of the corporate debtor.
- ✓ **Time limit for liquidation proceedings:** The liquidation proceedings should be completed within a period of year from the date of initiation of liquidation as per Regulation 44 of the Insolvency and Bankruptcy Board of India (Liquidation Process) Regulations, 2016
- ✓ **Dissolution of the corporate debtor:** Adjudicating Authority on the application of the liquidator, after the distribution of assets of the corporate debtor as per the priority of claims, shall dissolve the corporate debtor.
- ✓ **Appeal against the liquidator:** Section 42 of the IBC provides that a creditor who is aggrieved by the decision of the liquidator may file an appeal to the Adjudicating Authority within fourteen days of the communication of such decision to the creditor.

The liquidation process aims to ensure an orderly and efficient realization of assets, equitable distribution of proceeds, and an orderly exit for the corporate debtor from the market.

Suggestive Questions:

Q. Elaborate on the step-by-step process of liquidation as defined by the Insolvency and Bankruptcy Code 2016.

Q. Outline the comprehensive liquidation process established by the Insolvency and Bankruptcy Code of 2016, explaining each stage.

Q. Explain the details of the liquidation process as per the Insolvency and Bankruptcy Code of 2016, offering a comprehensive overview of its steps and procedures.

Question no. 12. Explain the difference, if any, between the corporate insolvency resolution process and the pre-packaged insolvency resolution process under the IBC, 2016?

Ans.

▪ **Introduction:**

The **CIRP** and the **PPIRP** are the two ways of insolvency resolution mechanism for resolving insolvency of the corporate debtor under the IBC, 2016. While **CIRP provides a formal initiation of insolvency proceedings** against a financially distressed corporate debtor to identify a viable resolution plan that maximizes the value of the company's assets and settles creditors' claims. The **PPIRP is a relatively new framework introduced to streamline the insolvency resolution process which involves** a pre-negotiated and consensual resolution plan that is agreed upon before formally initiating insolvency proceedings before the Authority.

Even though both these processes aim at the insolvency resolution of the corporate debtor they have some noticeable **differences between them** as under:

- ✓ **Who can Initiate:** CIRP by Corporate Debtor, Financial Creditor & Operational Creditor whereas PPIRP by the Corporate Debtor only
- ✓ **Against whom it can be initiated:** CIRP can be initiated against the corporate debtor as defined under section 3(8) of the IBC whereas the PPIRP can be initiated against the corporate debtor classified as a micro, small or medium enterprise
- ✓ **Value of Default for filing of Application:** CIRP one crore while for PPIRP ten lakhs
- ✓ **Time Limit for Completion:** CIRP 180+90 days, (mandatorily in 330 in special cases) while PPIRP in 120 days
- ✓ **Base Resolution Plan:** In CIRP no such requirement whereas in PPIRP Corporate Debtor must present it to the financial creditors before the initiation of the process
- ✓ **Management of the affairs of the Corporate Debtor:** In CIRP Resolution Professional handles and manages while in PPIRP the existing management
- ✓ **Timeline for submission of Resolution Plan:** In CIRP no such timeline although insolvency resolution process needs to be completed within 180 days whereas in PPIRP Resolution Professional shall submit a resolution plan after approval from Committee of Creditors to the Adjudicating Authority within 90 days
- ✓ **Interim period/cooling off period:** 12 months between two CIRPs while in PPIRP three years between 2 PPIRPs

Thus, the core difference between CIRP and PPIRP lies in the **timing and approach to negotiations**. **CIRP is initiated formally** and involves negotiations during the process, while **PPIRP emphasizes pre-negotiation and consensus** before the formal commencement of insolvency proceedings before the Authority.

Suggestive Questions:

Q. Are there any distinctions between the corporate insolvency resolution process and the pre-packaged insolvency resolution process as outlined in the IBC, 2016?

Q. Highlight the key differences between the corporate insolvency resolution process and the pre-packaged insolvency resolution process according to the IBC, 2016?

Question no. 13. What is pre-packaged insolvency resolution process under the IBC, 2016. Explain the key aspects of the PPIRP.

Ans.

▪ **Introduction:**

PPIRP stands for "**Pre-Packaged Insolvency Resolution Process**," a mechanism **introduced by the IBC (Amendment) Act, 2021**. Thus, pre-packaged insolvency resolution process is **applicable to the corporate persons classified as micro, small and medium enterprises**. It has been introduced and made **effective from 4th April 2021 by insertion of Chapter III-A [sections 54A to 54P] being introduced in Part II of IBC**. It is designed to **facilitate a faster and more efficient resolution** of stressed companies by allowing creditors and promoters to agree on a resolution plan before initiating the formal insolvency proceedings.

PPIRP has emerged as an **innovative corporate rescue method** that **incorporates the virtues of both informal i.e., out-of-court and formal i.e., judicial insolvency proceedings**. Therefore, it is considered as a hybrid framework, as it resolves the financial stress of a corporate debtor as a going concern, with minimum assistance of Government. In other words, it is a hybrid framework as it empowers stakeholders to resolve the stress of a corporate debtor as a going concern, with the minimum assistance of the Government. It is considered fast, cost efficient, and effective in resolution of stress, much before value deteriorates, with the least business disruptions and without attracting the stigma attached with the formal insolvency process. It starts with an informal understanding, engages the stakeholders in between, and ends with a judicial intervention.

The pre-requisites for initiation of PPIRP are:

- ✓ An application for initiating pre-packaged insolvency resolution process may be made in respect of a corporate debtor, who **commits a default as per section 4 of at least Rs. 10 lakhs;**
- ✓ Corporate debtor has **not undergone pre-packaged insolvency resolution process or completed corporate insolvency resolution process**, as the case may be, during the period of three years preceding the initiation date;
- ✓ Corporate debtor is **not undergoing a corporate insolvency resolution process;**
- ✓ **No order requiring corporate debtor to be liquidated is passed** under section 33;
- ✓ Corporate debtor is **eligible to submit a resolution plan** under section 29A;
- ✓ Financial creditors of the corporate debtor, not being its related parties, and representing not less than 66% in value of the financial debt due have **proposed**

- and approved the name of the insolvency professional to be appointed as resolution professional for conducting the PPIRP
- ✓ The majority of the directors or partners of the corporate debtor, as the case may be, have made a **declaration**, that:
 - the corporate debtor shall file an application for initiating pre-packaged insolvency resolution process within a definite time period not exceeding ninety days;
 - the pre-packaged insolvency resolution process is not being initiated to defraud any person; and
 - the name of the insolvency professional proposed and approved to be appointed as resolution professional;
 - ✓ The **members of the corporate debtor have passed a special resolution, or at least 3/4th of the total number of partners**, as the case may be, of the corporate debtor have passed a resolution, approving the filing of an application for initiating pre-packaged insolvency resolution process.

The PPIRP streamlines the insolvency resolution process for the MSMEs by enabling a pre-negotiated agreement between the corporate debtor and its financial creditors. This approach enhances efficiency, encourages collaboration, and aims to achieve a smoother and faster resolution while adhering to the provisions of the IBC, 2016.

Suggestive Questions:

Q. Provide an explanation of the Pre-Packaged Insolvency Resolution Process (PPIRP) under the framework of the Insolvency and Bankruptcy Code, 2016. Outline the key components of the PPIRP.

Q. What is the Pre-Packaged Insolvency Resolution Process (PPIRP) according to the IBC, 2016? Describe the significant aspects of the PPIRP.

Q. Explain the concept of Pre-Packaged Insolvency Resolution Process (PPIRP) as per the Insolvency and Bankruptcy Code, 2016. Highlight the essential features of the PPIRP.

Question no. 14. What is fast-track corporate insolvency resolution process. Who can undergo fast-track insolvency resolution process as per the provisions of the IBC, 2016?

Ans.

▪ **Introduction:**

The provisions related to the Fast Track Corporate Insolvency Resolution Process is provided under **Chapter IV Part II of the IBC**. It is a **specialized framework** introduced under the Insolvency and Bankruptcy Code **to expedite the resolution process for smaller companies** with simpler financial structures. It is designed to streamline the

insolvency proceedings for eligible corporate debtors, enabling a faster resolution while maintaining creditor interests.

The Fast Track Corporate Insolvency Resolution Process **may be made in respect of the following corporate debtor** as per section 55 of IBC and as notified by the Central Government:

- ✓ A **small company**; or
- ✓ A **startup** (other than partnership firm); or
- ✓ An **unlisted company** with total assets, as reported in the financial statement of the immediately preceding financial year, not exceeding rupees one crore.

As per section 56 of the IBC the Fast Track CIRP **provides for an accelerated timeline for resolution**, with a maximum period of 90 days, compared to 180 days in the regular CIRP, which can be extended by up to 45 days if required. However, the extension cannot be granted more than once. Any extension beyond the said period requires approval from the committee of creditors and supported by a vote of seventy five percent of the voting share. An **application for fast-track corporate insolvency resolution process may be filed by a creditor or corporate debtor**, as the case may be, **along with:**

- ✓ the proof of the existence of default as evidenced by records available with an information utility or such other means as may be specified by the Board; and
 - ✓ such other information as may be specified by the Board to establish that the corporate debtor is eligible for fast-track corporate insolvency resolution process.
- Manner of initiating fast track corporate insolvency resolution process.

Further, as per section 58 of the IBC the **process for conducting a corporate insolvency resolution process** under Chapter II and the provisions relating to offences and penalties under Chapter VII **shall apply to fast-track corporate insolvency resolution process too.**

Thus, the Fast Track Corporate Insolvency Resolution Process **offers an expedited resolution mechanism** for smaller corporate debtors. It aims to reduce timelines while maintaining creditor interests and follows a streamlined procedure to achieve a faster resolution under the IBC framework.

Suggestive Questions:

Q. Provide an overview of the fast-track corporate insolvency resolution process according to the IBC, 2016. Discuss the specific categories of entities that qualify for this swifter resolution process.

Q. What does the term "fast-track corporate insolvency resolution process" mean under the IBC, 2016? Who are the entities that meet the criteria to undergo this accelerated resolution process?

Q. Describe the fast-track corporate insolvency resolution process in accordance with the IBC, 2016. Clarify the types of entities that are eligible for this streamlined approach.

Question no. 15. What is the objective of the Insolvency and Bankruptcy Code, 2016? Explain.

Ans.

▪ **Introduction:**

The Insolvency and Bankruptcy Code, 2016 ("IBC") was enacted in India with a set of **comprehensive objectives aimed at addressing and resolving the complex issues related to insolvency, bankruptcy, and financial distress**. The IBC consolidates and amends the laws relating to reorganization and insolvency resolution of corporate persons, partnership firms and individuals in a time bound manner for maximization of value of assets of such persons, to promote entrepreneurship, availability of credit and balance the interests of all the stakeholders.

The IBC has some of the key objectives as under:

- ✓ **Time-bound Resolution:** One of the primary objectives of the IBC is to establish a time-bound framework for resolving insolvency cases. It aims to streamline and expedite the insolvency resolution process to prevent delays and maximize the value of assets.
- ✓ **Maximizing Value of Assets:** It seeks to maximize the value of distressed assets and promote efficient use of resources by facilitating the timely resolution of insolvency cases.
- ✓ **Protection of the Creditors Interest:** It underlines the protection of creditor interests by providing them a structured process to recover their dues.
- ✓ **Promoting Business as a going concern:** It aims to promote business continuity and preserve the going concern value of the corporate debtor. The focus is on reviving the viable businesses through resolution and restructuring rather than liquidation.
- ✓ **Institutional Framework:** It establishes a well-defined institutional framework for insolvency resolution, which includes the National Company Law Tribunal and the Insolvency and Bankruptcy Board of India. These institutions ensure effective oversight, regulation, and implementation of the insolvency process.
- ✓ **Promoting Cross-border Insolvency:** Further, the IBC is as per the international best practices as it introduces provisions for cross-border insolvency, facilitating cooperation between Indian and foreign jurisdictions in insolvency matters.

Thus, the **IBC strives to create a vigorous, time-bound, and effective insolvency resolution framework** that balances the interests of all stakeholders. It has **revolutionized the insolvency and bankruptcy laws** in India by providing a more efficient system for resolving insolvency and bankruptcy cases, leading to faster recovery of dues for creditors and a more transparent process for resolving insolvency.

S

Suggestive Questions:

Q. What are the underlying objectives of the Insolvency and Bankruptcy Code, 2016. Explain.

Q. What are the aims and intentions behind the establishment of the Insolvency and Bankruptcy Code, 2016? Elaborate on its purpose.

Question no. 16. What is Pre-Packaged Insolvency Resolution process as per the Insolvency and Bankruptcy Code, 2016? Explain.

NOTE: Introduction and other aspects will be as provided in Q. No. 13 with necessary modifications. Further, the PPIRP process can be outlined based on the below mentioned pointers.

Ans.**▪ Introduction:**

Same as Q. 13 with necessary modifications.

PPIRP process:

- ✓ Corporate Debtor to be MSME
- ✓ Default of minimum amount of Rs. 10 Lakhs
- ✓ Approval of Directors of the Company or Partners of LLP, as the case maybe
- ✓ Special Resolution of Members or Resolution by 3/4th Partners
- ✓ Certain declarations are required from the Directors of the Company or Partners of LLP with Application
- ✓ Approve appointment of Resolution Professional by CoC with the approval of 66% voting
- ✓ Corporate Debtor to make an application for initiating PPIRP
- ✓ Adjudicating Authority to admit or reject the application in 14 days
 - 7 days' time will be given to corporate debtor to rectify the defect, if any
- ✓ Once the Adjudicating Authority admits the application PPIRP commences
- ✓ **Adjudicating Authority declares a moratorium**, appoint resolution professional and cause a public announcement of the initiation of PPIRP to be made by resolution professional.
 - **Moratorium** shall continue from the date of order of Adjudicating Authority admitting the application of PPIRP till the date on which PPIRP period comes to an end
- ✓ **After admission of Application:** CD shall submit to the resolution professional list of claims, Preliminary Information Memorandum and Base Resolution Plan i

- ✓ Resolution professional to **constitute Committee of Creditors** and the first meeting of CoC to be held within 7 days of constitution of CoC
- ✓ Resolution professional **to present Base Resolution Plan** to CoC in 90 days from PPIRP Commencement Date confirming requirements of Sec.54K
- ✓ Committee of Creditors shall **approve or reject** the Base Resolution Plan (66% voting by value of Financial Debt) or go for completion of process of improvement:
 - **Approve:** Resolution professional shall file the plan with Adjudicating Authority for approval
 - **Reject:** Resolution professional shall invite other plans and committee of creditors shall complete the process of improvement and shall select one Resolution Plan from the plans submitted which is significantly better
- ✓ **Committee of creditors shall** either:
 - **Approve** the Base Resolution Plan or the selected Resolution Plan
 - **If no plan approved** than the resolution professional shall file application for the termination of PPIRP
- ✓ Resolution Professional shall file the Base Resolution Plan or Resolution Plan approved by Committee of creditors with 66% voting **for approval by the Adjudicating Authority**
- ✓ **Adjudicating Authority may** either:
 - **Approve:** PPIRP is completed or
 - **Reject** the plan: Adjudicating Authority shall order termination of the corporate debtor and initiate liquidation

he Pre-Packaged Insolvency Resolution process play within the context of the Insolvency and Bankruptcy Code, 2016? Detail its objectives, steps, and implications for corporate debtors and creditors.

Q. What role does he Pre-Packaged Insolvency Resolution process play within the context of the Insolvency and Bankruptcy Code, 2016? Detail its objectives, steps, and implications for corporate debtors and creditors.

Q. Explain the Pre-Packaged Insolvency Resolution process as outlined in the Insolvency and Bankruptcy Code, 2016, emphasizing its key features and procedures.